DMCC Speciality Chemicals Ltd

Concall-Tracker report · Screener ticker DMCC (NSE: DMCC, BSE: 506405) · formerly The Dharamsi Morarji Chemical Company · 8 earnings-call transcripts read (FY23 → Q4 FY26) plus web-filled Q1 FY27 · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): DMCC makes **sulphuric acid and chemicals derived from it**, plus **boron chemicals** (boric acid) and a smaller range of speciality chemicals used in pharmaceuticals, agrochemicals and pigments. In plain terms: it buys sulphur, converts it into acid and downstream chemicals, and sells them to other manufacturers — so its profits swing with the price of sulphur. It is one of India's oldest chemical companies, founded in 1919.

Figure	Value	Plain-English read
Market capitalisation	**₹727 cr** (price ₹292)	What the whole company is worth on the stock market. The share has ranged ₹191–333 over the past year.
Price-to-earnings / dividend	**18.2×**; yield 0.86% (₹2.50 proposed)	About 18 times the last year's profit. A dividend of ₹2.50 per share has been proposed for FY26.
Q1 FY27 revenue (Jun'26 qtr)	**₹253.0 cr, up 99.2% YoY**	Sales in the June 2026 quarter **doubled** against ₹127.0 cr a year earlier, and were 42% above the March quarter. A record by a wide margin.
Q1 FY27 operating profit	**₹35 cr, margin 13.6%**	Operating profit before interest, tax and depreciation. The margin only "expanded slightly" — note that revenue doubled but the margin barely moved, which is the tell that this is price pass-through.
Q1 FY27 net profit	**₹20.4 cr, up 162.9% YoY**	Profit after tax against ₹7.76 cr a year earlier. **Management has said this includes non-recurring inventory gains that will reverse as prices normalise.**
FY26 (full year)	**₹582 cr revenue, ~₹28 cr profit**	Revenue up ~35% on FY25's ₹430 cr — but management attributed the rise mainly to *higher realisations*, i.e. selling the same things at higher prices, not selling more.
Longer revenue path	**₹387 → 328 → 431 → 582 cr** (FY23–FY26)	Growth has been erratic rather than compounding — FY24 actually shrank — which is what a commodity-linked business looks like.
Operating margin trend	**24% (FY19) → 9–13% since**	The long-run margin decline is the central problem. This company earned 24% margins seven years ago and has not been above 15% since FY20.
Return on capital	**ROCE 14.8%; ROE 11.5%**	For every ₹100 of capital the business earns about ₹15 a year before tax. Modest — roughly what a commodity chemicals producer should earn.
Debt	**Long-term borrowings below ₹60 cr**	Genuinely comfortable, and being repaid. Interest costs run around 8.75–9%. The balance sheet is not a worry here.

2. Concall coverage

Eight earnings-call transcripts were read, oldest to newest, spanning roughly four years. **DMCC does not hold calls every quarter** — it typically holds two a year, after the half-year and the full-year results — so the coverage below is complete for the calls that exist, but there is no call for Q1 or Q3 of most years.

Period	Call date	Revenue / operating margin	Read?
Q4 & FY23	May 2023	FY23 ₹387 cr · 9%	Yes
Q2 & H1 FY24	Nov 2023	₹77 cr · 12%	Yes
Q4 & FY24	27 May 2024	FY24 ₹328 cr · 11%	Yes
Q2 & H1 FY25	Nov 2024	₹103 cr · 15%	Yes
Q4 & FY25	08 May 2025	FY25 ₹430 cr · 13.5%	Yes
Q2 & H1 FY26	12 Nov 2025	₹126 cr · 11%	Yes
Q4 & FY26	19 May 2026	FY26 ₹582 cr · 10%	Yes — latest call
Q1 FY27 (Jun 2026)	**Results 10 Aug 2026**	**₹253.0 cr · 13.59%**	**Web-filled — no call held**

Span: eight calls over four years. The same management team appears throughout — Bimal Goculdas (Managing Director & CEO) and Sunil Kumar Goyal (CFO) — which makes the multi-year promise trail easy to follow. Because no call was held for Q1 FY27, that quarter is reconstructed from the results filing of 10 August 2026 and published coverage.

2b. Latest update highlights — Q1 FY27 (results 10 Aug 2026) ★

- **Revenue doubled: ₹253.0 cr, up 99.2% year-on-year** and 42% above the March quarter. Net profit **₹20.4 cr, up 162.9%** against ₹7.76 cr. On the face of it, a transformational quarter.
- **But management said plainly what caused it:** surging **sulphur prices** and **inventory gains** — and warned that the profit **includes non-recurring inventory gains that will reverse as prices normalise**. The operating margin is the corroborating evidence: it "expanded slightly" to 13.59% while revenue doubled. If this were genuine business improvement, margin would have moved far more.
- **Why sulphur spiked:** on the Q4 FY26 call management explained that roughly **50% of global sulphur trade flows through the Gulf of Hormuz**, and that supply had tightened against demand from new consuming capacity. Their consistent stance has been that they pass raw-material price rises through to customers in full — which inflates both revenue and cost, making the percentage margin look worse even when rupee profit holds.
- **The cost of the boom is working capital:** higher sulphur prices mean higher receivables and higher inventory. Management flagged increased working-capital pressure in Q1 FY27, having already noted on the previous call that the price rise "results in a higher debtor requirement, higher stock". Interest is running at 8.75–9%.
- **Operational constraints persist:** the **Roha plant was slowed to about 60% capacity** because it could not source enough sulphur (Dahej sources domestically and was unaffected), and the non-boric-acid business faced a **glut and oversupply**. Separately, the boron business — previously around **₹10 cr a month** — had been lost. A dividend of ₹2.50 per share was proposed and the AGM set for 11 September 2026.

2c. Business mix & capacity (quick facts)

Domestic vs export: predominantly domestic, with exports skewed toward the higher-margin speciality products. Exports have been the weak spot — management attributed the decline to **European demand shrinking** ("not to competition, but basically the consumption of those materials in Europe has come down") rather than to losing share, and separately to a difficult stretch in agrochemicals. No precise percentage split is disclosed on the calls, so none is quoted here.

Product mix — the key disclosure: management stated on the Q4 FY26 call that at the time of the name change the business was about **30% commodities and 60–70% bulk chemicals**, and that since then **the bulk share has gone up further** because sulphuric acid volumes and prices both rose. The stated ambition is to get back to **30–40% bulk and about 60% specialities**. Gross margins run near 40%; an analyst pushed back on the call that "a true speciality chemical should have a gross margin of 50% and above".

Capacity utilisation: two plants — **Dahej** (Gujarat) and **Roha** (Maharashtra). Management has said existing capacity can support a **₹500 cr-plus top line** and that they have "not come close to achieving full capacity", so growth needs little new investment; they confirmed in FY25 that all major planned investments were done and no major capex was envisaged. Against that, **Roha ran at only ~60% during Q4 FY26** for want of sulphur. On costs, a solar plant was commissioned in late 2025 and is expected to cover **~80% of Roha's power requirement** from renewables, while Dahej is already more than 90% independent of the grid.

3. Earning Trigger thesis ★

There are two candidate triggers here and it matters which one you are being sold. **The strategic trigger management has promised for years is a shift from bulk chemicals into specialities** — better margins, steadier earnings, less working capital. The company literally renamed itself "DMCC Speciality Chemicals" to signal it. **That shift has not happened; on management's own account it has gone backwards**, with bulk rising above the 60–70% it was at the name change against a target of 30–40%. Gross margin sits near 40% where a genuine speciality business would be above 50%, and the long-run operating margin has fallen from 24% in FY19 to 9–13% today. **The trigger that actually produced Q1 FY27's doubled revenue is the sulphur price** — and management has explicitly said the associated inventory gains will reverse. What genuinely supports the case is quieter: spare capacity able to carry a much larger top line with no capex, long-term debt under ₹60 cr, and a solar installation cutting Roha's energy cost. Those are real, but they are enablers waiting for demand, not a driver that is firing.

Trigger	What management said	Evidence so far	Horizon	Strength
Shift to a 60% speciality mix	Target 30–40% bulk / ~60% specialities; the company was renamed to signal this	**Moved the wrong way.** Bulk was 60–70% at the name change and management confirms it has since risen further	Stated, undated	Not delivered
Sulphur / sulphuric acid pricing	~50% of global sulphur trade passes through the Gulf of Hormuz; prices spiked on supply tightness	Doubled Q1 FY27 revenue — but management says inventory gains are **non-recurring and will reverse**	Cyclical	Temporary
Spare capacity, no capex needed	Existing plants can support a ₹500 cr+ top line; "not come close to achieving full capacity"; all major investments complete	Genuine — FY26 did ₹582 cr without major new spending. But Roha ran at only ~60% for lack of sulphur	Structural	Moderate
Energy cost reduction	Solar plant commissioned late 2025; ~80% of Roha's power to be renewable; Dahej >90% grid-independent	Delivered on schedule — a small, permanent margin benefit	Structural	Moderate
Low leverage	Long-term borrowings below ₹60 cr and being repaid	Confirmed. Interest at 8.75–9%; the balance sheet gives room to absorb a working-capital squeeze	Structural	Strong
			Unclear	Unproven

Export / speciality recovery	Export weakness blamed on European demand shrinking, plus a bad agrochemical cycle	Still awaited. This is where the better margins sit, and it is outside management's control		
New copper smelter in Kutch (headwind)	Flagged by management as likely to pressure sulphuric acid realisations once operational	Smelters produce sulphuric acid as a by-product — more domestic supply into DMCC's main market	FY27	Negative
Lost boron business (headwind)	Boron was "around ₹10 crores per month... that is what we have lost"	A disclosed, permanent revenue loss of roughly ₹120 cr a year at the higher-margin end	Done	Negative

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
Since the name change	Move the mix to ~60% specialities and 30–40% bulk	**The opposite.** Management confirmed on the Q4 FY26 call that the bulk share has risen further from the 60–70% it started at	**Missed**
Ongoing	Pass raw-material price increases through to customers in full	Delivered — and management explained clearly why this makes the percentage margin look worse even when it is not	**Delivered & explained**
FY25	Complete the investment programme; no major capex ahead; keep repaying debt	Delivered. Long-term borrowings below ₹60 cr and falling; no major capex announced since	**Delivered**
FY26	Commission solar at Roha to cut energy cost, covering ~80% of requirement	Commissioned at the end of Q2 FY26 as described	**Delivered**
FY25 → FY26	Warned that a new copper smelter in Kutch would pressure commodity realisations	Flagged well in advance rather than after the fact — and then reported the effect	**Accurate warning**
FY26	Disclosed the loss of the boron business (~₹10 cr/month) and the non-boric-acid glut	Volunteered on the calls, including the monthly revenue figure, rather than leaving it to be inferred	**Candid**
Q4 FY26	Explained that Roha was deliberately slowed to ~60% capacity on sulphur sourcing	Disclosed openly, with the reason and the contrast to Dahej	**Candid**
Q1 FY27	—	**Warned that the 163% profit jump includes non-recurring inventory gains that will reverse**, and that working capital pressure has risen — talking down its own best quarter	**Notably candid**
Long run	Improve business quality: higher gross margins, lower working-capital intensity, greater earnings stability	None of the three has happened. Gross margin ~40% versus the 50%+ analysts argue a speciality business needs; operating margin down from 24% (FY19) to 9–13%; working capital rising	**Missed**

Narrative drift: This is an unusual case where **the honesty is excellent and the strategy is not working**. On disclosure, DMCC's management is among the more straightforward encountered: they warn about headwinds before they arrive (the Kutch copper smelter), quantify their own losses precisely (the ₹10 cr-a-month boron business), explain why a slowed plant was slowed, correct the optical reading of their own margins, and — most tellingly — told the market that the quarter in which profit rose 163% contained non-recurring inventory gains that will reverse. Very few managements talk down their best result. The same two executives have run the calls throughout, so there is a real, traceable record. The failure is strategic rather than ethical. The company renamed itself "Speciality Chemicals" and set a target of roughly 60% specialities; several years later bulk chemicals are a *larger* share than when the target was set, gross margin sits near 40% against the 50%+ a genuine speciality business commands, and long-run operating margin has more than halved since FY19. Analysts on the calls now press this point directly, asking when investors should expect higher gross margins, lower working-capital intensity and steadier earnings — and the answers remain directional rather than dated. A management that tells you the truth about missing its own target is still a management that has missed it, repeatedly.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

Q1 FY27 looks like a transformation and is not one. Revenue doubled and profit rose 163%, but the operating margin barely moved — the signature of a business passing a raw-material price rise straight through — and management itself said the profit contains non-recurring inventory gains that will reverse when sulphur normalises. Strip that out and what remains is a commodity chemicals producer whose long-run operating margin has fallen from 24% in FY19 to 9–13%, whose strategic promise of a shift into specialities has moved backwards on its own account, which has permanently lost a boron business worth roughly ₹10 cr a month, and which faces new domestic sulphuric acid supply from a copper smelter in Kutch. This is not a No, because genuine positives exist and they are not trivial: plants that can carry a ₹500 cr-plus top line with no further capital spending, long-term debt under ₹60 cr, a solar installation permanently cutting Roha's energy cost, and real headroom — Roha ran at just 60% last quarter. If European demand and the agrochemical cycle recover, that spare capacity converts into high-incremental-margin speciality volume with almost no investment, and the trigger becomes a Yes. But that is a recovery the company does not control, and after four years of waiting for it, it remains a plausible driver rather than a working one.

Management consistent? → MAYBE

Split the question and the answer is clear on both halves. On **candour**, this management is genuinely good — better than most in this coverage. They warned about the Kutch copper smelter before it hurt them, quantified the lost boron business at ₹10 cr a month rather than burying it, explained precisely why Roha was throttled to 60%, corrected analysts who misread the percentage-margin optics of cost pass-through, and then, in the quarter profit rose 163%, told the market the gains were non-recurring and would reverse. That last point is the strongest evidence available that they are not managing the narrative. They have also done what they said on the controllable items: debt repaid to under ₹60 cr, the capex programme finished, solar commissioned at Roha as described. On **strategy**, however, the central promise has failed. The company changed its name to signal a move into speciality chemicals and set a target of roughly 60% specialities; on management's own admission the bulk share has since gone *up*, gross margin remains near 40% rather than the 50%+ that would mark a real speciality business, and operating margin has more than halved since FY19. Analysts are now asking on the calls when the promised improvement in business quality actually arrives, and the answers stay directional. Honest about a target they keep missing is exactly a Maybe: trustworthy on facts, unproven on transformation.

Prepared from eight DMCC Speciality Chemicals Ltd earnings-call transcripts, Q4 FY23 (May 2023) through Q4 FY26 (19 May 2026), sourced from Screener.in; the company holds roughly two calls a year rather than four. The Q1 FY27 quarter is web-filled from the results filing of 10 August 2026 and published coverage because no call was held. Financial data from Screener.in. **This is not investment advice. Do your own due diligence.**